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Chapter VII - Housing Loan

A. Housing Loan to individuals - Quantum, LTV ratio and Risk weight

98. The bank shall abide by the following Loan to Value (LTV) ratios and Risk Weights (RWs) while granting housing loans to individuals:

Housing Loan to individuals		
Category of Loan	**LTV Ratio (%)**	**Risk Weights**
(a) Up to ₹20 Lakh	90	50
(b) Above ₹20 lakh and up to ₹75 lakh	80	50
(c) Above ₹75 lakh	75	75

B. Housing Sector: Innovative Housing Loan Products - Upfront Disbursal of Housing Loans

99. Some banks have introduced certain innovative Housing Loan Schemes in association with developers / builders, e.g., upfront disbursal of sanctioned individual housing loans to the builders without linking the disbursals to various stages of construction of housing project, interest / EMI on the housing loan availed of by the individual borrower being serviced by the builders during the construction period / specified period, etc. This might include signing of tripartite agreements between the bank, the builder and the buyer of the housing unit. These loan products are popularly known by various names like 80:20, 75:25 Schemes. Such housing loan products are likely to expose the banks as well as their home loan borrowers to additional risks e.g. in case of disputes between individual borrowers and developers / builders, default / delayed payment of interest / EMI by the developer / builder during the agreed period on behalf of the borrower, non-completion of the project on time, etc. Further, any delayed payments by developers / builders on behalf of individual borrowers to banks may lead to lower credit rating / scoring of such borrowers by credit information companies (CICs) as information about servicing of loans gets passed on to the CICs on a regular basis.

In cases where bank loans are also disbursed upfront on behalf of their individual borrowers in a lump-sum to builders / developers without any linkage to stages of construction, banks run disproportionately higher exposures with concomitant risks of diversion of funds.

100. In view of the higher risks associated with such lump-sum disbursal of sanctioned housing loans and customer suitability issues, the banks are advised that disbursal of housing loans sanctioned to individuals shall be closely linked to the stages of construction of the housing project / houses and upfront disbursal shall not be made in cases of incomplete / under-construction / green field housing projects.

101. It is emphasized that the banks while introducing any kind of product shall take into account the customer suitability and appropriateness issues and also ensure that the borrowers / customers are made fully aware of the risks and liabilities under such products.

C. Construction of Building / Ready-Built House

102. The banks are advised to also adhere to the following conditions, in the light of the observations of Delhi High Court on unauthorised construction:

(1) In cases where the applicant owns a plot / land and approaches bank for a credit facility to construct a house, a copy of the sanctioned plan by competent authority in the name of a person applying for such credit facility must be obtained by the bank before sanctioning the home loan.

(2) An affidavit-cum-undertaking shall be obtained from the person applying for such credit facility that they shall not violate the sanctioned plan, construction shall be strictly as per the sanctioned plan and it shall be the sole responsibility of the executant to obtain completion certificate within 3 months of completion of construction, failing which the bank shall have the power and the authority to recall the entire loan with interest, costs and other usual bank charges.

(3) An Architect empanelled by the bank shall also certify at various stages of construction of building that the construction of the building is strictly as per sanctioned plan and shall also certify at a particular point of time that the completion certificate of the building issued by the competent authority has been obtained.

(4) In cases where the applicant approaches the bank for a credit facility to purchase the built up house / flat, it shall be mandatory for them to declare by way of an affidavit-cum-undertaking that the built up property has been constructed as per the sanctioned plan and / or building byelaws and as far as possible has a completion certificate also.

(5) An Architect empanelled by the bank shall also certify before disbursement of the loan that the built up property is strictly as per sanctioned plan and / or building bye-laws.

(6) No loan shall be given in respect of those properties which fall in the category of unauthorized colonies unless and until they have been regularized and development and other charges paid.

(7) No loan shall also be given in respect of properties meant for residential use, but which the applicant intends to use for commercial purposes and declares so while applying for loan.

Exception: Agricultural land is outside the limit of the Gram Panchayats and Municipal Councils and as these authorities neither sanction plans nor issue completion certificates for farmhouses constructed by the farmers on the agricultural land, this paragraph will not apply to such situations. In all such cases, local rules will apply.